

Paradiem

The Morning Brief

AUGUST 16, 2026

Setup Week

Bessent package rollout, FOMC minutes, and retailer prints frame the last macro checkpoints before Jackson Hole.

S&P 500 (FRI CLOSE)	WTI (USO FRI CLOSE)	TLT (FRI CLOSE)	BITCOIN (LIVE)	FEAR & GREED (CNN FRI)
\$776.34 · ↑0.4% wk	\$126.60 · ↑7.3% wk	\$82.04 · ↓0.67% Fri	~\$62,900 · Softer at weekend range low	65 · Greed

SECTION 01

Markets — Sunday Setup: The Week’s Last Macro Checkpoints Before Jackson Hole

COMPOSITION TAPE CARRIES A TWO-WAY RATE READ INTO MONDAY

The tape closes the week with the composition tension unresolved: per BLS coverage cited by CNBC, Quartz, and Yahoo Finance, July CPI printed ↑0.1% MoM headline and ↑0.2% MoM core and PPI headline held at 0.0% MoM, but per Techtimes coverage of the BLS PPI release core services PPI surged ↑0.4% MoM — the strongest core services impulse in several months. Per Census release coverage on FXStreet, July retail sales fell ↓0.6% MoM with the GDP-input control group at ↓0.4%; per University of Michigan release coverage, preliminary August consumer sentiment collapsed to 51.0 with one-year inflation expectations at 4.3%. Per CME FedWatch coverage cited by CNBC, September rate-hike odds compressed to roughly 30% by Friday from roughly 44% early in the week. This week’s domestic macro cycle — July Industrial Production Tuesday August 18, July FOMC minutes Wednesday August 19 — is the last hard-data checkpoint before Chair Warsh’s Friday August 28 Jackson Hole keynote. The FCI dividend sleeve continues to hold higher-duration positioning through NEE, ATO, and CEG; the AI-power complex (CEG, EIX, VST) traded constructively into Friday per data drop.

S&P 500 (SPY FRI)	\$776.34 · ↑0.4% on the week
RUSSELL 2K (FRI)	\$305.09 · ↑0.52% Fri
SEPT RATE-HIKE ODDS	~30% · Down from ~44% early wk
TLT (20Y FRI)	\$82.04 · ↓0.67% Fri on twist
BITCOIN (LIVE SUN)	~\$62,900 · Near recent range low
INDUSTRIAL PRODUCTION	Tue Aug 18 · 9:15 AM ET per FRB

RETAILER SEQUENCE READS THE CONSUMER POST-MISS

Per company IR calendars carried on Kiplinger and CBS coverage of the earnings docket, Home Depot reports

Tuesday August 18 before the open (consensus roughly \$4.73 EPS per Kiplinger), Target and Lowe’s report Wednesday August 19, and Walmart reports Thursday August 20 (consensus roughly \$0.74 EPS on \$186.7B revenue per Kiplinger). The sequence functions as the read-through on whether the Friday July retail-sales miss (↓0.6% MoM headline) is a broad-based consumer inflection or a July-specific pull-forward reversal after the Amazon Prime Day spike coverage cited on FXStreet. Per data drop, FCI has no direct exposure to the four names, but the read into the dividend sleeve is material: FAST closed ↓0.62% at \$51.02 Friday, GPC closed ↓0.24% at \$135.03, and PCAR closed essentially flat at \$130.79 — the

discretionary-adjacent dividend names most sensitive to a consumer-inflection call. NVDA reports fiscal Q2 Wednesday August 26 with sell-side consensus at roughly \$91.9B revenue and \$2.07 EPS per Intellectia coverage, and Bank of America

has previewed a possible multi-quarter upgrade cycle if guidance re-rates toward \$107–\$108B for the next quarter per Yahoo Finance coverage — the single-most-important AI-thesis catalyst on the near-term calendar.

The Monday-through-Thursday sequence resolves the composition tension the tape brought into the weekend. Research Reveals Opportunities.

SECTION 02

Geopolitics — Bessent Package Rollout Week Opens With Hormuz Traffic Still a Fraction of Baseline

THIRD ADNOC ATTACK CONFIRMED OVERNIGHT; ISOLATION PACKAGE DETAIL EXPECTED THIS WEEK

Per Oman Observer, Kuwait Times, Washington Post, and CNN coverage of the Saturday statement, ADNOC confirmed a further vessel was attacked while transiting the Strait of Hormuz on the evening of Friday August 14 — the state oil giant’s third strike in a 48-hour window following the two Thursday incidents. The UAE again attributed responsibility to Iran and characterized the attack as a flagrant violation of international law per Kuwait Times coverage. Per Rigzone, Bloomberg, and Washington Times coverage of the Friday Treasury statement, Secretary Bessent said Washington would unveil unprecedented economic-isolation measures the following week, framed as a one-two punch alongside the continued naval blockade. Per Al Jazeera coverage of Iranian statements, Tehran has kept the strait effectively closed pending US concessions and has restated its precondition list — lifting the blockade, US force withdrawal, and permanent end to the conflict. The FCI energy sleeve (CVX, CNX, OKE) sits with a physical-friction floor as the diplomatic ceiling remains elevated; the enforcement-posture stiffening continues to support the defense-sleeve bid (LMT closed ↑1.78% at \$608.68 Friday per data drop).

UKRAINE REFINERY CAMPAIGN EXTENDS OVERNIGHT; GLOBAL PRODUCT-SPREAD READ COMPOUNDS WITH HORMUZ

Per HNGN and Al Jazeera coverage carried into the weekend, Ukrainian strikes hit the Gazprom-operated Neftekhim Salavat complex in Bashkortostan and the Slavnet-Yanos refinery in the Yaroslavl region — extending a campaign that has reportedly affected roughly one-third of Russia’s major refineries in prior weeks per Kyiv Post and RBC-Ukraine coverage. Per Wikipedia coverage of the 2025–2026 Russian fuel crisis compiled from RIA and Reuters sourcing, Russian domestic gasoline and diesel availability has tightened materially since the campaign accelerated. The vector operates independently of the Hormuz story on the crude side but compounds with it on the refined-product spread: with Middle East-to-China VLCC rates approaching \$500,000 per day per Bloomberg coverage carried into Friday, the global

product complex is absorbing a compound friction that reads through the FCI energy sleeve (CVX, CNX, OKE) rather than through the crude tape alone. Per Al Jazeera coverage, no publicly reported US Navy interdiction over the weekend beyond the standing blockade posture disclosed by the White House Friday.

FEAR & GREED COMPOSITION READ: CNN STOCK F&G HELD AT 65 “GREED” FRIDAY

The Sunday data drop shows Fear & Greed at 34 “Fear (Crypto)” — the crypto Fear & Greed rather than the CNN stock-market index the brief tracks. Per CNN coverage carried into the weekend, the CNN stock-market Fear & Greed Index held near 65 “Greed” through Friday — consistent with the read carried in the Aug 15 brief and with the small-cap outperformance and precious-metals bid on Friday’s soft-data session. Bitcoin traded near \$62,900 through the weekend per

Yahoo Finance and CryptoSlate coverage, drifting toward the lower end of the roughly five-week range that has framed the tape. Per data drop, IBIT closed ↓0.70% at \$35.63 Friday and ETHA closed ↓0.35% at \$14.18; the ETF sleeve did not

participate in the Friday soft-data-driven risk-on bid that lifted small caps and the metals complex — a de-correlation the digital-asset sleeve (IBIT, ETHA) will absorb into next week.

SECTION 03

On Our Radar

1. Week Ahead — Industrial Production Tuesday, HD Tuesday, TGT/LOW Wednesday, FOMC Minutes Wednesday, WMT

Thursday. Per Federal Reserve G.17 schedule, July Industrial Production and Capacity Utilization publish Tuesday August 18 at 9:15 AM ET. Per company IR calendars carried on Kiplinger, Home Depot reports pre-open Tuesday August 18 (consensus roughly \$4.73 EPS), Target and Lowe's report Wednesday August 19, and Walmart reports Thursday August 20 (consensus roughly \$0.74 EPS on \$186.7B revenue). Per FOMC calendar, the July meeting minutes publish Wednesday August 19 at 2:00 PM ET — the record of the July 29 hold and Chair Warsh's reaction-function framing. Per Kansas City Fed coverage, the Jackson Hole Economic Policy Symposium runs Thursday–Saturday August 27–29 with Chair Warsh's keynote scheduled Friday morning August 28 — described by Warsh after the July meeting as a blank piece of paper per Financial Times coverage cited by Regards of Wallstreet. NVDA reports fiscal Q2 Wednesday August 26.

2. Iran Isolation Package: Detail Rollout Expected This Week. Per Bloomberg, Rigzone, and Washington Times coverage of the Friday Treasury statement, Secretary Bessent's isolation package is expected to be unveiled in detail during the trading week of August 17–21, with a stated ambition to layer measures the world has never seen against an already-active naval blockade. Skeptics cited in Yahoo Finance and Bloomberg previews note the country is already subject to thousands of sanctions and an active blockade — the operative variable is the secondary-sanction perimeter and Chinese refiner exposure. Per data drop, LMT closed ↑1.78% at \$608.68 Friday and GD closed ↑0.72% at \$395.78 — the defense-sleeve bid tracking the enforcement-posture stiffening. If the package tightens the secondary-sanction perimeter on Chinese refiner term flows, the physical-friction floor under the crude complex tends to firm; if the package reads primarily as a diplomatic signal, the risk premium may compress.

3. Bitcoin Drifts Lower Into Monday's ETF Re-Open Without Weekend Flow Support. Per CryptoSlate and Yahoo Finance coverage of the weekend tape, Bitcoin traded near \$62,900 and drifted toward the lower end of the roughly five-week trading range. Weekend trading lacks ETF creation-redemption flow; per CryptoSlate coverage, a sustained loss of the lower range boundary could open a path toward the low \$60s on Monday's ETF re-open. Per data drop, IBIT closed ↓0.70% at \$35.63 Friday and ETHA closed ↓0.35% at \$14.18. The de-correlation from Friday's soft-data risk-on bid remains the operative read for FCI positioning through IBIT and ETHA. Per SEC and CryptoDaily coverage carried in prior briefs, the SEC pulled its August 14 open meeting on a proposed tailored offering regime for crypto asset investment contracts — the proposal remains queued.

4. Russia Refinery Campaign Extends Overnight; Product-Spread Compound With Hormuz Deepens. Per HNGN and Al Jazeera coverage of overnight strikes, Ukrainian long-range attacks hit the Gazprom-operated Neftekhim Salavat complex in Bashkortostan and the Slavnet-Yanos refinery in the Yaroslavl region. Per Wikipedia coverage of the 2025–2026 Russian fuel crisis compiled from RIA and Reuters sourcing, Russian domestic gasoline and diesel availability has tightened materially since the campaign accelerated. The vector operates independently of Hormuz on the crude side but compounds on the refined-product spread. Per data drop, XLE led the Friday sector tape at ↑1.39%; XLU followed at ↑0.61% and XLB at ↑0.44%. For FCI energy exposure (CVX ↑1.16% at \$200.00, CNX ↑0.96% at \$35.72, OKE ↑2.54% at \$94.99 per data drop), the two friction vectors continue to compound.

5. Carson's SPY \$645.80 Support Remains Active; No Levels Hit Friday. Per levels.json, Carson's active SPY support at \$645.80 remains untouched through Friday's \$775.43–\$778.80 SPY intraday range per data drop and now sits approximately 16.8% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With Industrial Production Tuesday, retailer earnings Tuesday–Thursday, FOMC minutes Wednesday, the Bessent isolation package due for detail rollout, Jackson Hole scheduled Aug 27–29, and NVDA reporting Wednesday August 26, the pre-committed deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-day gap.

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